WAVERLEY GATEWAY GUIDE

Connecting International Capital

ALBANIA

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Tirana	Capital and commercial centre; seat of government, the Bank of Albania and most foreign firms, and home to the TEDA Tirana technological and economic development area	Business services, ICT and BPO, finance, real estate, light manufacturing
Durrës and Porto Romano	Albania's main port, which handled 7.35 million tonnes in 2024; a new state-funded port of about €400 million is planned at Porto Romano, with capacity of 2 million TEU	Port logistics, warehousing, manufacturing, tourism
Durana Tech Park (Xhafzotaj, Durrës)	Albania's first technology park, offering a 0% corporate tax regime for qualifying companies	IT, start-ups, research and development
Vlorë	Southern deep-water port planned as an energy hub, with an LNG terminal, a gas-fired power plant and a pipeline link to the Trans Adriatic Pipeline at Fier	LNG and gas power, tourism, logistics
Fier and the TAP corridor	Landfall area of the Trans Adriatic Pipeline and centre of Albania's oil sector, with solar parks under development nearby	Gas infrastructure, oil and gas services, solar energy
Riviera coast (Himarë to Sarandë)	Fast-growing coastal tourism belt that helped bring a record 12.4 million foreign visitors in 2025	Hotels and resorts, hospitality, real estate
Black Drin valley (Skavica)	Site of the planned 210 MW Skavica hydropower plant, valued at about €500 million and developed by state utility KESH	Hydropower, construction and engineering services

INVESTOR ENTRY ROUTES

- Albanian Investment Development Agency (AIDA) provides investor information, a one-stop shop for strategic investors, government introductions and aftercare
- Strategic investor status, with assisted or special procedures for projects above set thresholds by sector (for example $5.75 million plus 80 jobs in tourism); the government is drafting a new strategic investments law
- TEDA Tirana and Durana Tech Park offering serviced land, leases of up to 35 years and reduced or zero corporate tax for qualifying investors

- A 15% standard corporate income tax, with reduced 5% rates for software development and automotive components
- A freely floating lek, an inflation-targeting central bank and reserves of €7.3 billion at the end of 2025, equal to 7.6 months of imports
- EU candidate status, with all negotiating chapters opened and four provisionally closed by October 2026, progressively aligning Albania's rules with the EU single market
- EU Western Balkans Growth Plan funds, with €212.8 million released to Albania by May 2026 against reform milestones

MARKET-ENTRY OBSERVATION

Albania in November 2026 combines steady growth, a record investment and tourism performance and the fastest-moving EU accession process in the Western Balkans. GDP grew 3.8% in 2025 and 3.6% year-on-year in the second quarter of 2026, with credit rising 15.5% in the third quarter. Foreign direct investment reached a record €1.64 billion in 2025, the fifth successive annual increase, led by real estate, finance and energy, and a record 12.4 million foreign visitors arrived in 2025. Inflation was 2.9% in September 2026, close to the Bank of Albania's 3% target, and the policy rate has been held at 2.5%. All EU negotiating chapters are now open and four were provisionally closed by October 2026, with the government aiming to conclude talks in 2027 and S&P and Moody's both rating the outlook stable.

Albania's main structural challenge is broadening its growth base beyond tourism, construction and real estate, while strengthening the rule of law that the EU process requires. Goods exports weakened in 2025, real estate absorbed 37% of FDI inflows in the fourth quarter, and agriculture contracted in the second quarter of 2026. The policy response is substantial: large energy projects including the Skavica hydropower plant, solar parks and a planned LNG hub at Vlorë, a new port at Porto Romano, reduced tax regimes for software and automotive components, and EU Growth Plan funding tied to reforms. Prudent public finances, with a 2025 deficit of 1.8% of GDP and public debt of 52.9% of GDP, leave room to finance this programme, creating opportunities in energy, logistics, manufacturing and ICT.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Rule of law and public procurement	Corruption and judicial effectiveness remain key EU benchmarks and a concern for investors	Judicial vetting and EU-monitored reforms continue; use transparent tenders, international arbitration clauses and reputable local counsel
Investment framework in transition	The government is drafting a new strategic investments law, and incentive rules may change	Engage AIDA early, secure status under current rules where possible and track the new law through parliament
Narrow growth base	Growth relies heavily on tourism, construction and real estate, while goods exports weakened in 2025	Target under-served sectors such as manufacturing, ICT and energy, where incentives and government support are strongest
Property rights and land titles	Unclear land titles can delay real-estate and tourism projects	Conduct full title due diligence and favour state-serviced sites such as TEDA Tirana
Labour availability	Emigration has reduced the pool of skilled workers and adds to wage pressure	Partner with universities, invest in training and draw on returning diaspora talent
Currency movements	The lek floats freely, so exchange-rate moves affect euro-denominated costs and revenues	Match currency of revenues and costs, and use local banks' hedging products where available
Political polarisation	Relations between the governing Socialist Party and the opposition remain tense	The Socialist majority, re-elected in 2025, provides policy continuity, anchored by the shared EU membership goal

INVESTOR RISK NOTE

Albania's risk profile is that of a stable NATO member and advanced EU candidate with a growing economy, moderate public debt and a clear reform anchor. Prime Minister Edi Rama began a fourth term in September 2025 after his Socialist Party won a majority in the May 2025 election, giving policy continuity, and the government targets EU membership by 2030. Albania was removed from the FATF grey list in October 2023, and S&P (BB) and Moody's (Ba3) both rated the country stable in March 2026. The main issues for investors are rule-of-law reform, the transition to a new strategic investments law and the economy's reliance on tourism and real estate; each is being addressed through the EU accession process and a diversified project pipeline. The Bank of Albania expects inflation may temporarily exceed its 3% target before returning to it, so cost assumptions should allow some headroom.

MARKET ACCESS

Albania is a WTO member and an EU candidate with a Stabilisation and Association Agreement giving duty-free access for most goods to the EU, its main trading partner and the destination for about two-thirds of goods exports, with Italy a key market. It is also a member of the Central European Free Trade Agreement (CEFTA), giving access to Western Balkan markets. Its Adriatic and Ionian ports at Durrës and Vlorë face Italy and connect to the Pan-European transport corridors, while the Trans Adriatic Pipeline crosses the country, bringing Azerbaijani gas to Italy. In April 2026 state gas company Albgaz signed a 20-year agreement with Aktor LNG USA for about 1 billion cubic metres a year of LNG from 2030, valued at about $6 billion, positioning Vlorë as a future regional gas gateway.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Prime Minister (Edi Rama)	Sets economic policy and drives the EU accession agenda; Rama began a fourth term in September 2025	Primary reference point for strategic projects and government priorities
Albanian Investment Development Agency (AIDA)	National investment promotion agency and one-stop shop for strategic investors, also running SME and export support	Standard first point of contact for market entry and incentives
Bank of Albania	Independent central bank targeting 3% inflation; policy rate held at 2.5% in November 2026	Relevant for banking, payments and currency matters
Ministry of Finance	Leads budget, tax policy and debt management, and coordinates EU Growth Plan reforms	Key counterpart on tax and fiscal incentives
Ministry of Infrastructure and Energy	Oversees ports, transport and energy projects, including the Vlorë energy hub	Relevant for infrastructure concessions and energy investment
KESH and Albgaz	State power and gas companies leading Skavica hydropower and LNG supply and gas infrastructure	Partners for energy-sector supply, finance and joint projects
European Union Delegation to Albania	Manages EU pre-accession and Growth Plan support and monitors reforms	Useful for EU-funded projects and accession-related regulatory change

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce in Albania, the Foreign Investors Association of Albania and bilateral chambers including Italian, German and British business groups are the main channels for dialogue with government, alongside the Union of Chambers of Commerce and Industry of Albania. AIDA organises investor events and sector presentations, and the Investment Council provides a forum between government and business. The European Bank for Reconstruction and Development, the European Investment Bank, the World Bank and the Western Balkans Investment Framework finance energy, transport and private-sector projects, while EU Growth Plan funding supports reform-linked investment. Embassies of EU partners and the United States maintain active commercial sections.

INVESTOR PROFILE BEST SUITED

Albania suits investors seeking an early position in a fast-converging EU candidate: tourism and hospitality groups targeting the Riviera coast; energy investors in hydropower, solar and the planned Vlorë gas hub; logistics and port operators around Durrës and Porto Romano; ICT, software and business-process outsourcing firms using reduced tax regimes and multilingual talent; and manufacturers, including automotive component suppliers, serving Italian and wider EU markets. Real-estate investors should undertake careful title due diligence.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage AIDA and assess strategic investor status
Open dialogue with AIDA to test eligibility for strategic investor procedures and sector incentives, and track the new strategic investments law.

STEP 2: Shortlist sites in TEDA Tirana or Durana Tech Park
Compare serviced plots, lease terms and tax regimes in development areas, and verify land titles for any site outside them.

STEP 3: Map energy and infrastructure pipelines
Review opportunities in Skavica, solar tenders, the Vlorë gas hub and Porto Romano port, and identify state counterparts and DFI co-financing.

STEP 4: Align with EU accession and Growth Plan reforms
Monitor chapter closures and regulatory alignment, and identify Growth Plan and EU-funded projects relevant to your sector.

STEP 5: Build governance and currency safeguards
Use reputable local counsel, international arbitration clauses and transparent procurement, and plan for lek movements against the euro.